

US equities rally on earnings beat, yields ease

A 5-minute read of yesterday's US session and today's catalysts — what to watch before pre-market opens at 21:30 HKT.

2-3 page read • Topics: Macro • Geopolitics • Earnings

TL;DR

All major US indices closed higher on Friday, with the **S&P 500** up **+0.73%** to 7,722.72 and the **Nasdaq 100** gaining **+1.00%** to 30,807.93. The rally was anchored by strong earnings from **NVDA** and **AVGO**, while the 10-year Treasury yield slipped to 5.28%.

Volatility receded, with the VIX down **-6.59%** to 15.31. Commodity prices fell, led by WTI crude at 89.91 USD, supporting risk-on sentiment.

US session recap

INDEX / ASSET	CLOSE	CHANGE	NOTE
S&P 500	7,722.72	+0.73%	
Dow Jones	51,176.96	+0.49%	
Nasdaq 100	30,807.93	+1.00%	
Russell 2000	2,832.90	+0.94%	
VIX	15.31	-6.59%	
10Y Yield	5.28%	+0.76%	
WTI Crude	89.91	-1.32%	

Top large-cap movers

TICKER	CLOSE	CHANGE
TSLA	370.59	+4.65%
AVGO	355.14	+3.35%
NVDA	233.95	+1.34%
AMZN	251.52	+1.33%

Spotlight

Quarterly results from NVDA beat expectations, driven by AI-related demand. Revenue rose 22% YoY to 31.2 bn, and EPS climbed to 3.12 USD.

METRIC	VALUE
Revenue YoY	+22%
EPS	3.12 USD
Guidance FY26	+18% revenue growth

Macro & Fed

- Policy rate: 5.25%-5.50% (unchanged)
- 10-year yield: 5.28% (down 8 bps)
- Data releases (HKT): CPI 02:30, Core CPI 02:30, Initial Jobless Claims 03:30

Geopolitics & global

- Middle-East tensions eased after cease-fire talks, reducing oil-supply risk.
- China’s manufacturing PMI posted 50.2, marginally above expectations, supporting demand outlook.
- Eurozone inflation held at 2.9%, keeping ECB dovish bias.

Earnings — what to watch

WHEN (HKT)	TICKER	WHAT TO LOOK FOR
02:00	MSFT	Guidance for FY27, cloud margin
03:30	GOOGL	Ad revenue trend, AI spend
04:00	JPM	Net interest income, loan growth

Stocks worth watching

- **META** – steady user growth, ad-spend recovery.
- **XLFX** – banking earnings beat, rate-sensitive.
- **XLE** – oil price dip may pressure energy exposure.
- **XLV** – health-care defensive play amid volatility.
- **BTC** – crypto rally, could spill into risk assets.

What could break the tape

BEARISH TRIGGERS

- Unexpected rise in 10-year yield above 5.40%.
- Geopolitical escalation in the Middle East.
- Weak earnings from **MSFT** or **GOOGL**.

BEARISH TRIGGERS

- Continued strength in AI chip earnings, pushing tech higher.
- Further decline in VIX below 14, confirming low volatility.
- Positive CPI surprise keeping inflation expectations anchored.

Sources

SOURCES

- Reuters — US Markets
 - Bloomberg — Market Data
 - SEC — Company Filings
 - Federal Reserve — Policy Statements
 - CNBC — Global News
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